

CHAPTER Two

The evolution of management

This evolution of management thought can be studied in the following broad stages:

A. the Classical Theory of Management (Classical Approach): It includes the following three streams of thought: (i) Bureaucracy, (ii) Scientific Management; and (iii) Administrative Management

B. The Neo-classical theory of Management: It includes the following two streams: (i) Human Relations Approach (ii) Behavioral Sciences Approach.

C. The Modern Theory of Management: It includes the following three streams of thought: (i) Quantitative Approach to Management (ii) Systems Approach to Management and (iii) Contingency Approach to Management.

A. The classical management theory

As this sketch of the evolution of global car manufacturing suggests, changes in management practices occur as managers, theorists, researchers, and consultants seek new ways to increase organizational efficiency and effectiveness. The driving force behind the evolution of management theory is the search for better ways to utilize organizational resources. Advances in management theory typically occur as managers and researchers find better ways to perform the principal management tasks: planning, organizing, leading, and controlling human and other organizational resources.

i. The scientific management schools

According to Taylor, scientific management in its essence consists of a philosophy which results in a combination of four important underlying principles of

management. First, the development of a true science, second, the scientific selection of the workers, third, their scientific education and development, fourth, intimate co-operation between management and their men. The basic principles of Taylor philosophy of scientific management are as noted below. These principles of scientific management are most crucial aspects of scientific management. The development of 'One best way' of doing a job. This suggests the task of finding out the best method for achieving the objectives of a given job. Here, job analysis and standardization of tools, equipment, machinery, etc. are required.

1. Scientific selection of workers and their development through proper training.
2. Scientific approach by management. The management has to develop a true science in all fields of work activity through scientific investigation and experiments.
3. Close co-operation of managers and workers (labor management relations) for better results and understandings.
4. Elimination of conflict between methods and men. The workers are likely to resist to new methods. This can be avoided by providing them an opportunity to earn more wages.

Features of Scientific Management

1. Scientific task setting: F. W. Taylor suggested the introduction of standard task which every worker is expected to complete within one day (working hours) the task is to be calculated through careful scientific investigation. For this, work study (i.e. method study and work measurement study) is essential. Taylor suggested time study, motion study, fatigue study and rate-setting for the introduction of scientific task. Time study is the art of observing and recording the time required to do each detailed element in an industrial operation. Motion study refers to the study and analysis of the movements of an operator while

performing a job so that attempts can be made to remove useless/unwanted movements from the process. Both the studies together help in determining the best method of performing a job and the standard time allowed for it. This replaces the old rule-of-thumb knowledge of the workers. The workload, the best method of performing the same and the time within which it must be performed are suggested in this feature of scientific management by Taylor.

2. Planning the task: For performing the task by every worker, Taylor suggested the need of planning the production activity accurately. This idea of planning is Taylor's gift to the science of management. Planning of task gives answers to the following questions. What has to be done, how it is to be done, where the work shall be done and when the work shall be done.

3. Scientific selection and training of workers: Taylor suggested the need of scientific selection of workers for the plant/production activities. The procedure of selection must be systematic so as to select the best and the most suitable persons for different types of jobs. Correct placement of workers is equally important. He also suggested the need of training of workers so as to raise their ability or efficiency. Training is to be integrated with the promotion policy. He also suggested differential piece wage plan for compensation payment to workers. He also suggested the importance of cordial relations between management and workers.

4. Standardization: Taylor suggested the importance of standardization of tools and equipment, materials, conditions of work and speed of machines. This brings co-ordination in different activities and all workers will be able to perform the task assigned easily. The workers will have satisfactory working conditions for work due to such standardization.

5. Specialization: Taylor suggested specialization in the administrative and organizational setup of the plant. He suggested functional foremanship. Taylor recommended eight functional foremen for different activities and functions. The foremen suggested by him are like route clerk, instruction card clerk, speed boss etc. Such specialization is useful for raising efficiency of the whole organization.

6. Mental revolution: The techniques suggested by F. W. Taylor in his scientific management are different as compared to traditional techniques and methods. The success of scientific management rests basically on the attitude of management and workers. They must give up their old ideas and methods and must accept new scientific methods. Cooperation from workers and management for the introduction of scientific management depends on this mental revolution.

Taylor's Contribution to the Development of Management Thought / Science

The contribution of F. W. Taylor to management thought is as explained below:

1. Emphasis on rational thinking: Taylor suggested rational thinking on the part of management for raising efficiency and productivity. He wanted managements to replace old methods and techniques by Modern methods which will raise productivity and offer benefits to all concerned parties. He was in favour of progressive, scientific and rational thinking on the part of management on all managerial problems. Such progressive outlook is essential for the introduction of new techniques and methods in the Management.

2. Introduction of better methods and techniques of production: F. W. Taylor suggested the importance of improved methods and techniques of production. Work-study techniques are his contribution to management thought. He suggested new methods after systematic study and research. Taylor recommended the use of new methods for raising overall efficiency and productivity.

3. Emphasis on planning and control of production: Taylor suggested the importance of production planning and control for high production, superior quality production and also for low cost production. He introduced the concept of production management in a systematic way.
4. Importance of personnel and personnel department: Taylor suggested the importance of manpower in management. He was in favour of progressive personnel policies for the creation of efficient and satisfied labour force. He suggested the need of personnel department and its importance. He favored incentive wage payment to workers.
5. Industrial fatigue and rest pauses: Taylor noted the nature of industrial fatigue and suggested the introduction of suitable rest pauses for removing such fatigue of workers. He wanted to reduce the burden of work on workers through the use of scientific methods.
6. Time and motion study: Taylor introduced new concepts like time study, motion study and work study in the field of industrial management such concepts are for the introduction of new methods which will be more quick, scientific and less troublesome to workers. The positive view of scientific management was described by Taylor as "Science, not rule of thumb; Harmony, not discord; Co-operation, not individualism; maximum output in place of restricted output.

ii. The Administrative management theory

Scientific management theory was aiming at improving the efficiency and productivity of workers; consequently, it provided little guidance for managers above the supervisory level. But, realizing the importance of efficiency operations at all levels, theorists began to focus on organizations as a whole. The theory focuses on the total organization and attempts to develop rules and principles that

will direct managers to more efficient activities. The single most contributor of this theory is Henry Fayol. He identified /classified business activities in to six.

These are

1. **Technical activities:-** These include activities of production and manufacturing.
2. **Commercial activities:-** These include activities of buying, selling or exchange
3. **Financial activities:-** These activities include searching for & optimum use of capital
4. **Security activities:-** These include protection of property and persons.
5. **Accounting activities:-** These include recording and taking stock of costs, profits & liabilities, keeping balance sheets, and compiling statistics; and
6. **Managerial activities:-** These include planning, organizing, commanding, co coordinating and controlling.

Fayol's 14 Principles of management

1. *Division of Labour.* The more people specialize, the more efficiently they can perform their work. This principle is epitomized by the modern assembly line.
2. *Authority.* Managers must give orders so that they can get things done. While their formal authority gives them the right to command, managers will not always compel obedience unless they have personal authority (such as relevant expertise) as well.
3. *Discipline.* Members in an organization need to respect the rules and agreements that govern the organization. To Fayol, discipline results from good leadership at all levels of the organization, fair agreements (such as provisions for rewarding superior performance), and judiciously enforced penalties for infractions.

4. *Unity of Command.* Each employee must receive instructions from only one person. Fayol believed that when an employee reported to more than one manager, conflicts in instructions and confusion of authority would result.
5. *Unity of Direction.* Those operations within the organization that have the same objective should be directed by only one manager using one plan. For example, the personnel department in a company should not have two directors, each with a different hiring policy.
6. *Subordination of Individual Interest to the Common Goal.* the interests of employees should not take precedence over the interests of the organization as a whole.
7. *Remuneration.* Compensation for work done should be fair to both employees and employers.
8. *Centralization.* Decreasing the role of subordinates or concentration of authority at the top can be referred as centralization. When it is dispersed throughout levels/increasing the involvement of subordinates in decision making is decentralization. Fayol believed that managers should retain final responsibility, but should at the same time give their subordinates enough authority to do their jobs properly. The problem is to find the proper degree of centralization in each case.
9. *Scalar chain:* Fayol defines scalar chain as the chain of superiors ranging from the top management to the lowest rank. The principle suggests that there should be a clear line of authority from top to bottom linking managers at all levels.
10. *Order.* Materials and people should be in the right place at the right time. People, in particular, should be in the jobs or positions they are most suited to.

11. *Equity*. Managers should be both friendly and fair to subordinates.
12. *Stability of Staff*. A high employee turnover rate undermines the efficient functioning of an organization. Management should provide orderly personnel planning and ensure replacements are available to fill vacancies.
13. *Initiative*. Subordinates should be given the freedom to conceive and carry out their plans, even though some mistakes may result.
14. *Esprit de Corps*. Promoting team spirit will build harmony and unit within the organization. To Fayol, even small factors should help to develop the spirit. He suggested, for example, the use of verbal communications instead of formal, written communication whenever possible.

iii. **Bureaucratic Management Theory**

This theory is concerned with the bureaucratic organization and is identified with a German author Max Weber. (1864-1920). He believed in one best organizational structure, which is highly formal, and goal oriented structure, human emotions and personal bias are subordinated by rational thinking and impersonal decision making.

Features of Weber's ideal bureaucracy:

1. **Division of labor**: - Jobs are broken down into simple, routine and well defined tasks.
2. **Authority Hierarchy**: - Offices or positions are organized in a hierarchy so that power and authority increases as one moves up through the levels of positions in the organization. /This is similar to scalar chain/
3. **Formal selection /technical competence**: - All organizational members are to be selected on the basis of technical qualifications demonstrated by training, education, or formal examination as opposed to friendship, family ties, or other forms of favoritism.

4. Formal Rules & Regulations: - To ensure uniformity and to regulate the action of employees there is a heavy dependence on formal organizational rules. Rules and regulations governing decision making and interpersonal behaviors are critical to bureaucratic organizations. He believed that continuity in rules & regulations was necessary to maintain order and enhance organizational achievement of goals. Where owners, managers and workers may come and go, the rules and regulations provided organizational stability. Moreover, rules and regulation serve to restrict decision makers who may feel compelled to act in their over interests of the organization.

5. Impersonality: - Rules & controls are applied uniformly avoiding involvement with personalities and personal preference of employees.

6. Career Orientation /Separation from ownership/: - managers are professional officials rather than owners of the units they manage; they work for fixed salaries and pursue their career within the organization. /This was because he believed that owners were the causes for inefficiency/. He believed that societies are rational in performing their activities. Organizations, to be efficient, they shall have to be arranged in rational way/structured in bureaucratic way.

Major disadvantages

- ❖ Red-tape (excessive procedures),
- ❖ Neglect of human effort.
- ❖ **Rigidity or inflexibility**
 - 🗨️ Bureaucracy encourages conformity to established rules, and does not allow deviating from established ways of doing things.
 - 🗨️ It doesn't easily adapt to changing condition and special circumstances.
 - 🗨️ The rules are preventive rather than encouraging to cope with circumstance change.

Contribution of classical management theory

1. To efficiency & Productivity: - Their idea to increase efficiency and productivity is applied in many organizations today.

Limitation

1. Reliance on experience:- many of the writers of classical theorists wrote based on their experience as managers or consultants to a few firms.

2. Untested assumptions:- the assumptions of classical theorists were not tested scientifically.

3. Failure to consider informal organizations:- by stressing on formal relationship in the organizations, classical approaches tend to ignore informal organization.

4. **Human Machinery**:- The classical approaches to management theorists considered /reduced the human side of the organization to machines to make the organization run efficiently.

B. The Neo-classical Management theory

1) Behavioural Approach

Neo-classical theory is called human relations and behavioural science movement.

It is built on the base of classical theory. It modified, improved and extended the classical theory.

Classical theory concentrated on job content and management of physical resources. Neo-classical theory gave greater emphasis to man behind the machine and stressed the importance of individual as well as group relationships in the plant or workplace. The behavioural science approach to management is the core of psychology and sociology in the understanding of individual as well as group

behaviour in an organisation. It advocated the importance of human values in business.

(a) Unintended Consequences. In bureaucratic structure, there may be many consequences which have not been visualised but which emerge because of the system.

1. There may be trained incapacity in the organisation. Trained incapacity relates to a phenomenon where a person is trained at the matter from a single point of view. Thus, he does not see beyond his training and tries to correlate the matter with total situation on the basis of his training. This happens because of excessive specialisation.

2. There is conflict between professionals and bureaucrats. The basic reason of conflict is the difference in orientation of professionals and bureaucrats. Professionals try to work according to their discipline for efficiency while bureaucrats try to emphasise rules and regulations.

3. Often there is conflict between organisation and individuals. There are many characteristics of bureaucratic organisation which work against human nature. For example, human beings work better when there is comparatively free environment but bureaucratic organisation puts more restrictions through rules and regulations. Thus, people try to avoid these rules and regulations.

(b) Inhuman Organisation. Perhaps the most important criticism of bureaucracy has come from behavioural scientists who have emphasised on inhuman behaviour in the organisation.

According to them, bureaucratic structure is inhuman and works like machine in which there is no importance of human beings. Bureaucracy works against the basic nature of human behaviour. A pioneering criticism of bureaucracy comes from

organisational psychologist, Warren Bennis. He sees the model as overly mechanical and no longer useful. The flaws and dysfunctions of the bureaucratic organisation are extensive but the main are as follows:

1. It is inhumane and denies man's needs.
2. It is incompatible with the development of a mature personality.
3. It promotes conformity.
4. It does not consider the informal organisation and interpersonal difficulties.
5. The hierarchy interferes with communication.
6. Innovation and new knowledge are quiet.
7. It is ineffective in a unstable environment. These criticisms are representative of the lack of human aspect of bureaucracy. The thrust of these criticisms is that bureaucratic structure makes inadequate assumptions about the real nature of human beings and does not address itself to the interaction of people within the organisation.

(c) Closed-System Perspective. Bureaucratic organisation has closed system perspective. Though a social organisation cannot be a totally closed system but it may lean towards closed system in its working. A closed system is self-contained and self maintaining. It is generally rigid and static. It ignores external conditions and makes no allowances for adapting to changes in the environment. In other words, It is viewed as operating within a vacuum.

Bureaucratic structure can work well when environment is highly static and predictable. However, the nature of environment for large organisations of today is

highly dynamic and heterogeneous. In dynamic environment, more interaction between organisation and environment is required. There is high need for information monitoring and processing. Thus, an open system perspective is more suitable for the management of modern-day organisations while bureaucratic structure has closed-system perspective.

2) Contribution of Elton Mayo

Elton Mayo (1880-1949) is recommended as the Father of Human Relations School. He introduced human relations approach to management thought. His contribution to the development of management thought is unique and is also treated as human relations approach to management. It was Mayo who led the team for conducting the study at Western Electric's Hawthorne Plant (1927-1932) to evaluate the attributes and psychological reactions of workers in on-the-job situations. His associates included John Dewery, Kurt Lewin and others. Mayo and his associates came to the following conclusions from their famous Hawthorne experiments:

1. The amount of work to be done by a worker is not determined by his physical capacity but by the social norms.
2. Non-economic rewards play a significant role in influencing the behaviour of the workers.
3. Generally the workers do not react as individuals, but as members of group.
4. Informal leaders play an important part in setting and enforcing the group norms. Mayo discussed the factors that cause a change in human behaviour. He concluded that the cause of increase in the productivity of the workers is not a

single factor like rest pauses or changing working hours but a combination several factors such as less restrictive supervision, giving autonomy to workers, allowing the formation of small cohesive groups of workers and so on.

Today, as a result of the efforts of Mayo and his associates, the managers in different organisations recognize that workers' performance is related to psychological, sociological and physical factors. Thus, Hawthorne Study was an important landmark to study the behaviour of worker and his relationship to the job. It proved that informal work groups and the opportunity to be heard and participate in decision making have an important impact on the productivity of the workers. Mayo is one leading management thinker and also a leading advocate of neo-classical theory.

The concept of participative management style was suggested in the neo-classical theory. The human relations approach suggested by Mayo has special importance in the present period. He rightly suggested the importance of democratic leadership and participative management style for running business activities efficiently. The role of people (workers) is clearly suggested by Mayo. He rightly suggested that management is not a mechanical process but a study of people involved in the production activities. Management will get positive response from its employees when their actions, response and expectations are given due attention.

Mayo is best known for his work on the project commonly referred to as the Hawthorne Studies. They were conducted in the Hawthorne plant of Western Electric Company in the USA between 1927 and 1932. It is said that Mayo applied psychological approach to management for the first time. He used clinical and diagnostic methods. The credit of humanization of management with a view to

achieve common interest of management and workers goes to Elton Mayo. Some of the major findings of Hawthorne Studies are noted below:

1. Employee's behaviour is influenced by mental attitudes and emotions including prejudices.
2. The workers in a group develop a common psychological bond uniting them as a group in the form of informal organisation.
3. In managing and motivating employee groups, human and social motivation plays greater role than financial incentives.
4. Management must understand that typical group behaviour can dominate or even succeed individual tendency and preferences.
5. When workers are given special attention by management, the productivity is likely to increase irrespective of actual changes in the working conditions.

Hawthorne Studies are primarily responsible for consideration of non financial incentives in improving productivity. Mayo pointed out that the organization is a social system and informal organisation is a reality. The knowledge of human nature can solve many problems of management. He emphasized that successful human relations approach can easily create harmony in an organisation, higher employee satisfaction and great operational efficiency. Central to this approach was an increased understanding of the individual worker with emphasis on motivation, needs, interpersonal relationships and group dynamics Mayo believed that a factory is not only a workplace but also a social environment in which the employees interact with each other. This gave rise to the concept of the 'social man' whose

interaction with others would determine the quality and quantity of the work produced.

C. The Modern Theory of Management

I. Systems Approach to Management

The systems approach to management and organisation indicates a new stream of management thought under modern theory of management. The greatest influence upon current management thought is, of course, due to adoption of systems approach to our organisations and management. The systems approach was developed only after 1950. It is the recent contribution to management thought. It was stimulated by the development of operations research. Modern theory considers an organisation as an open adaptive system which has to adjust to changes in its environment.

(a) What is a System?

The word system is derived from Greek word meaning to bring together or to combine. A system is a set of inter-connected and inter-related elements or component parts which operate together to achieve certain goals.

(1) Every system is goal oriented and it must have a purpose or objective to be attained. The objective provides the basis for evaluating functions performed within the system.

(2) In designing the system we must establish the necessary arrangement of components. This is nothing but organising function of management.

(3) Inputs of information, material and energy are allocated for processing as per plan so that the outputs can achieve the objective of the system viz., productivity and satisfaction.

The following terminology is important to your understanding of the systems approach:

- An organization that interacts little with its external environment (outside environment) and therefore receives little feedback from it is called a closed system.

- An open system, in contrast, interacts continually with its environment.

Therefore, it is well informed about changes within its surroundings and its position relative to these changes.

- A subsystem is any system that is part of a larger one.

- Entropy is the tendency of systems to deteriorate or break down over time.

- Synergy is the ability of the whole system to equal more than the sum of its parts.

II. The quantitative approach

During World War II, mathematicians, physicists, and other scientists joined together to solve military problems. The quantitative school of management is a result of the research conducted during World War II. The quantitative approach to management involves the use of quantitative techniques, such as statistics, information models, and computer simulations, to improve decision making.

This theory of management can also be called management science or mathematical operations research approach. It tries to offer systematic analysis and solutions to

many complex problems faced by management. New mathematical models and statistical tools are applied in the field of management, particularly in decision making on complex problems. Some of the quantitative models suggested are:

- Linear Programming - Technique managers use for resource allocation choices.
- Critical path method - Technique used by manager for work scheduling.
- Economic -Order-Quantity Model - Technique used to determine the optimum inventory levels a firm should maintain.

Quantitative approach helps to solve many managerial problems: such as

- *Production /work scheduling*
- *Inventory control*
- *Resource avocation choices etc .*

The above problems are often solved with the help of operation techniques and computers. As management is multidisciplinary field, different field of study such as mathematics, statistics, economics, etc. have contributed to the development and application of the quantitative approach to management.

In general, management science represents the use of scientific methods to facilitate managerial planning and decision making. However, quantitative approaches to management are limited to their usefulness. They can't take final decision. They can merely suggest best alternatives based on mathematical data. A mgr. has to decide whether or not to follow the solutions suggested by these tools. Quantitative analysis can be valuable supplement rather than a substitute for management.

III. Contingency or Situational Approach

Contingency theory of management is an extension of system approach to management. There cannot be suitable management solutions for all situations. External and internal factors keep changing. Since systems approach cannot appropriately suggest relationship between organization and environment, the gap so created has been fulfilled by contingency approach. The theory suggests:

1. What a manager should do in a particular situation based on the examination of the facts relating to each situation?
2. Contingency theory suggests active inter-relationship between various variables in a situation and managerial action devised. It not only suggests solution to the given situation but also examines various influences of the situation on behavior pattern of the individual and groups in the organization. The contingency view of organization may be explained in the words of Kast and Rosenzweig as follows:
"The contingency view seeks to understand the interrelationship within and among sub-systems as well as between the organization and its environment and to define patterns of relationship and configuration of variables. It emphasizes the multivariate nature of organizations and attempts to understand how organizations operate under varying conditions and in specific circumstances.

Features of the Contingency Theory

1. Management action is contingent on certain actions outside the system or the sub system.
2. Organizational action should be based on the behavior of action outside the system so that organization can be integrated with the environment.
3. Because of the specific organization - environment relationship, no action can be universal. It varies from situation to situation.

4. Internal functions of the organization are generally consistent with the technology; demand placed on the organization by the society, external environment and needs of the members of the organization.
5. Contingency approach suggests suitable alternatives for those managerial actions, which are influenced by external and internal environment like organizational design, strategy formulation, decision systems, leadership styles and organization improvement.
6. Organizational systems are not absolute. They have to adjust or modify considering social, political, technical and economic situations.